Performance Disaggregation on the Income Statement

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Abstract

This paper studies how firms disaggregate performance by examining the number of line items in their income statement with XBRL. We find that disaggregation increases with negative economic news, and the increase is driven by costs, expenses, and loss items. Firms with less persistent pro forma adjustment (GAAP earnings minus operating income) are more likely to increase disaggregation, especially that of non-operating expenses, consistent with using disaggregation to highlight transitory earnings components. Firms with higher disaggregation tend to also report Non-GAAP metric, and insiders appear to refrain from selling stocks, indicating private information that certain disaggregated accounts deflate earnings temporarily. Overall, our evidence indicates that managers use income statement presentation layout to convey earnings persistence knowledge to the market.

JEL Classification: M41, M20, G14.

Keywords: Financial reporting, Mandatory disclosure, Income Statement, XBRL, Performance disaggregation, Managerial discretion, Non-GAAP, Insider trading.